Stock Control

Exam code: 9BS0

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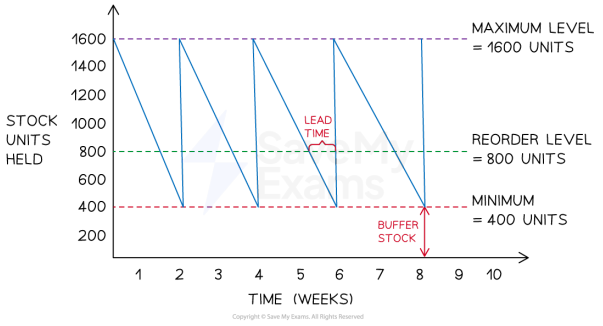
Interpretation of stock control diagrams

- A stock control diagram illustrates the **flow of stock** (inventory) into and out of a business over time

Example stock control diagram



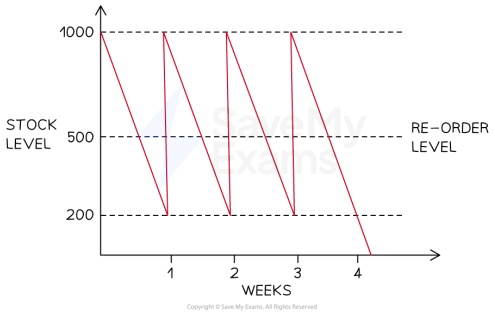
Stock control diagrams show maximum and minimum stock levels, reorder level, lead time and buffer stock level

Diagram analysis

- The **maximum stock level** is the maximum amount of stock a business is able to hold in normal circumstances (1,600)
- The **reorder level** is the level at which a business places a new order with its supplier (800)
- The **minimum stock level** is also known as the **buffer stock** level and is the lowest level to which a business is willing to allow stock levels to fall (400)
- The **lead time** is the length of time from the point of stock being ordered from the supplier to it being delivered (one week)
- The stock level line shows how stock levels change over the given time period
  - As stock is used up, a downward slope is plotted
  - When an order is delivered by a supplier, the stock level line shoots upwards

Stuck on something?
Ask questions and get help with exactly what you're revising.
Got it

The diagram below shows the movements of kitchen shelving units sold by TamFix Ltd.



Graph showing stock level, reorder level and number of weeks for TamFix Ltd

Identify the following points:

1. The minimum stock level
2. The reorder level
3. The reorder quantity
4. The lead time for kitchen shelving units (4)

Step 1: Identify the minimum stock level

The minimum stock level is identified by the bottom-most dotted line. In this case, it shows that the minimum stock level is 200 units. **[1]**

Step 2: Identify the reorder level

The reorder level is clearly identified on the diagram. In this case, it shows that the reorder level is 500 units. **[1]**

Step 3: Identify the reorder quantity

The reorder quantity is the difference between the maximum stock level (shown by the topmost dotted line) and the minimum stock level.

1,000 units (maximum stock) – 200 units (minimum stock) = 800 units

The reorder quantity is therefore 800 units. **[1]**

Step 4: Identify the lead time for kitchen shelving units

The lead time is the difference in time between an order for stock being placed and its delivery. In this case, assuming a five-day working week, the lead time for shelving units is two days. **[1]**

Buffer stock

- Buffer stock is a quantity of goods/raw materials kept in case of **stock shortages**
  - This can provide a **competitive edge** over rivals unable to meet demand
  - This approach is commonly called **"just in case"** stock control

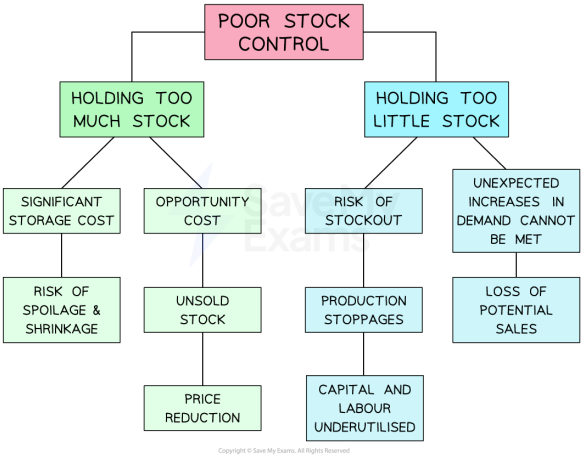
business and the product/service it provides

Advantages and disadvantages of holding buffer stock

Advantages	Disadvantages
• **Stability in supply** Buffer stocks ensure a stable supply of goods, so the business is able to respond to unexpected customer demand • **Price stabilisation** Buffer stocks can help prevent extreme price fluctuations, as they help the market to **avoid shortages**, which would otherwise result in rapid price increases • **Raw materials security** Businesses that are **dependent on particular raw materials** avoid disruption to their supply • **Competitive advantage** By having a reliable supply of goods, businesses can **gain a reputation** for always being able to meet the needs of their customers	• **Cost** Holding buffer stocks can be expensive, as it requires storage facilities and **inventory management systems** • **Risk of obsolescence** Buffer stocks can become obsolete if the demand for a particular product or input declines • **Opportunity cost** Holding buffer stocks **ties up capital** that could be invested in other areas of the business

Implications of poor stock control

Too much or too little stock: implications



- Problems may arise from holding **too much stock**
  - **Storage costs** (e.g. warehouse rental, security costs) will be higher than necessary
  - The risk of spoilage and stock shrinkage will be increased, leading to increased costs
- Similarly, holding **too little stock** is risky
  - A business may **run out of stock**, resulting in production stoppages and higher unit costs related to underused capacity
  - A sudden increase in **demand may not be capable of being met**, which leads to a loss of potential sales revenue

Just-in-time stock management

- **Just-in-time stock management** is a process in which raw materials are **not stored on-site**
  - Stock is ordered as required and delivered by suppliers "just in time" for production
- Careful coordination is needed to ensure that raw materials and components are delivered by suppliers **at the moment that they are to be used**

Advantages and disadvantages of just-in-time stock management

Advantages	Disadvantages
• **Stockholding costs**, including storage costs, are minimised • Close working relationships are developed with a **small number of trusted suppliers** • **Cash flow is improved**, as money is not tied up in stock • **Unused storage space** is available for productive use • **Teamwork is encouraged**, so employee motivation is likely to be improved	• Bulk-buying **economies of scale** are not generally possible • The ability to respond to **unexpected increases in demand** is reduced • **Administrative costs** related to frequent ordering are increased • **Unreliable suppliers** (e.g. late or poor-quality deliveries) can quickly halt production • Significant changes to **organisational structure** and production controls are required

Waste minimisation

    - **Perishable** stock (food and medicines) that is not used before it deteriorates will need to be **thrown away**
    - Stock may be **damaged** as a result of poor storage conditions and may **not be suitable for use** in the production process

- Allowing waste to go unchecked will **increase the unit costs of production** and reduce both efficiency and productivity
- Businesses may take a range of steps to **minimise waste**

Ways to minimise waste

Some ways to minimise waste include better storage and planning, as well as changes to sales tactics

- The minimisation of waste will depend on the nature of the product
    - For **perishable items**, refrigeration and careful stock rotation can reduce waste

- Staff training and **computer inventory management systems** may also reduce waste, as fewer errors are likely to be made
- Effective sales forecasting can help reduce the amount of wasted stock

Competitive advantage from lean production

- Lean production involves the **minimisation of the resources** used in production
    - **Less time** is required, as the production process is organised in the most efficient way
    - **Fewer materials** are used, as there is a focus on waste reduction
    - **Less labour** is used, as lean production is typically capital-intensive
    - The **space required for production is reduced** as a result of just-in-time stock management
    - A **small number of trusted suppliers** work closely with the business

- The use of lean production is likely to lead to a competitive advantage

- **Better quality of output** is likely, as a result of supplier reliability and carefully managed production processes

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